

Multiple Choice (10 marks)

1. Which of the following is a consequence of a protective tariff on imported steel?
 - (a) Net exports fall.
 - (b) Income is transferred from domestic steel consumers to domestic steel producers.
 - (c) Allocative efficiency is improved.
 - (d) Income is transferred from domestic steel to foreign steel producers.
2. Corn is exchanged in a competitive market. Which of the following definitely increases the equilibrium price of corn?
 - (a) Both supply and demand shift rightward.
 - (b) Both supply and demand shift leftward.
 - (c) Supply shifts to the right; demand shifts to the left.
 - (d) Supply shifts to the left; demand shifts to the right.
3. If prices rise in the United States relative to other countries then
 - (a) the value of the dollar will tend to appreciate.
 - (b) the value of the dollar will tend to depreciate.
 - (c) exchange rates will be affected but not the value of the dollar.
 - (d) the exchange rate will not be affected.
4. Which of the following statements is accurate in regard to a perfectly competitive firm?
 - (a) Demand is downward-sloping.
 - (b) The demand curve lies above the marginal revenue curve.
 - (c) Price is determined by the equilibrium in the entire market.
 - (d) Average revenue differs from price.
5. If corn is produced in a perfectly competitive market and the government placed a price ceiling above equilibrium, which of the following would be true?
 - (a) There would be no change in the amount of corn demanded or supplied.
 - (b) There would be a shortage created of corn.
 - (c) There would be a surplus created of corn.
 - (d) The producers of corn would lose revenue due to the decreased price.

True / False (10 marks)

Answer True or False

6. True or False: When aggregate demand exceeds aggregate supply, prices will rise to restore market equilibrium.
7. True or False: An increase in the standard of living means that the population must have increased significantly.
8. True or False: An increasing national debt can lead to increased demand for U.S. dollars, resulting in an appreciating value of the dollar.
9. True or False: Rising prices ensure that household incomes will always increase at the same rate as inflation.
10. True or False: To convert national income to GDP, one must add depreciation expenses, indirect taxes, and subtract subsidies.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze the cost of a Big Mac in different countries using exchange rates. Which country has the highest price when converted to dollars, and what factors might influence these differences?
12. Discuss how the Federal Reserve's purchase of bonds can be utilized as a policy tool to counteract a recession, including its potential impacts on the economy.

End of Paper